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U.S. SMID-Cap Software

Cloudflare Inc

Rating

Market-Perform

Price Target



164.00 USD (136.00 OLD)

Cloudflare (NET) Q2'26: Riding AI-driven cloud tailwinds

Cloudflare's Q2'26 earnings delivered its largest % growth beat since COVID (+4.7% vs. midpoint) and largest \$-beat ever (+\$31.6MM) continuing the trend we are seeing across all leading cloud infrastructure software during the production workload boom — driven by AI-demand for infrastructure modernization and AI Coding Agents, which are launching more and more web and mobile SaaS applications (often headless architecture that fits Workers / Void() / Vite well). With confidence driven by the uptake of their broader platform, strength in their largest customer cohorts (up +6% QoQ after a lower 3% in Q1), and strong execution by their enterprise GTM they raised their FY by more than the beat (proportionately similar to levels done in 2025) vs. Q1 where they held back and raised by just the beat.

We continue to believe Cloudflare is well positioned to get their fair share of incremental cloud tailwinds similar to those we track for AWS, Datadog, Twilio, etc.

As a result we updated their revenue model consistent with that expectation - good Q3, small air pocket likely in Q4, continued strength in 2027 and beyond above levels from 2023-2024. But Cloudflare has a nuance: their enterprise GTM and flex contracts driving excess growth (and a "swoop" plus seasonality) vs. pure consumption. We re-assert our earlier call anticipating Cloudflare's growth peaking in the mid-to-high 30% range in 2027 (correcting the revenue growth reduction we made in Q1).

Next big target: Rule of 50+ with FCF 30-35% and GAAP profitability by FY28. One knock on Cloudflare has been its relatively low FCF, particularly when SBC is excluded. Now, Cloudflare is emphasizing an updated target, with lower OpEx line items (and a little worse Gross Margins due to headwinds from the Workers business) resulting in 30-35%+ FCF Margins longer-term and GAAP profitability by FY28.

Investment Implications

Re-raised our FY27 model into the high 30% based on better understanding of their GTM effect on revenue timing. Using a 50/50 weighted DCF (10% WACC, 3% terminal growth) and maintain our 16x Price/NTM sales, we raise our PT to \$164 and maintain our MP rating.

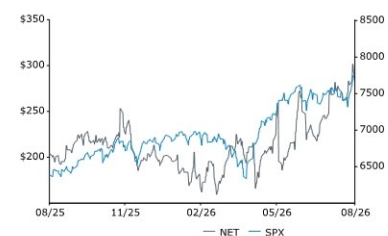
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
NET (USD)	0.92	1.32	1.98	Revenues (M)	2,168	2,944	4,037	36.5%	Adjusted P/E (x)	307.6	215.5	143.5
OLD	--	1.33	1.73	FCF (M)	260.56	393.96	680.03	61.6%	EV/FCF (x)	386.6	255.7	148.1
				Cost of Goods Sold (M)	524.75	792.99	1,078	43.4%	EV/Sales (x)	46.5	34.2	24.9
				Operating Earnings (M)	303.85	457.27	772.08	59.4%	PEG Reported (x)	(170.3)	(780.6)	55.6
									Reported P/E (x)	N/M	N/M	N/M
									EV/EBITDA (x)	N/M	383.4	183.2

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	6 Aug 2026			
NET Close Price (USD)	284.43			
Price Target (USD)	164.00			
Upside/(Downside)	(42)%			
52-Week Range	305.00/158.83			
SPX	7,709.96			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	101,363			
EV (USD) (M)	100,724			
Performance	YTD	1M	6M	12M
Absolute (%)	44.3	14.9	64.2	32.0
SPX (%)	12.6	2.3	11.2	21.5
Relative (%)	31.6	12.6	53.0	10.5

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

NOTES FROM CALLBACK WITH CEO

Management remains confident in its guidance and sees potential for upside relative to expectations. They noted that the business has evolved from a highly predictable consumption infrastructure SaaS model to a more complex operating environment, making future guidance more challenging. When setting guidance, they consider the range of possible outcomes for the remainder of the year. As a result, they can either widen the guidance range, which increases the risk of landing below the midpoint, or maintain a tighter range and potentially surprise to the upside. Management also suggested that being too transparent too early has not always been beneficial, as they have historically been penalized when they communicated optimism before investors could see the same trends.

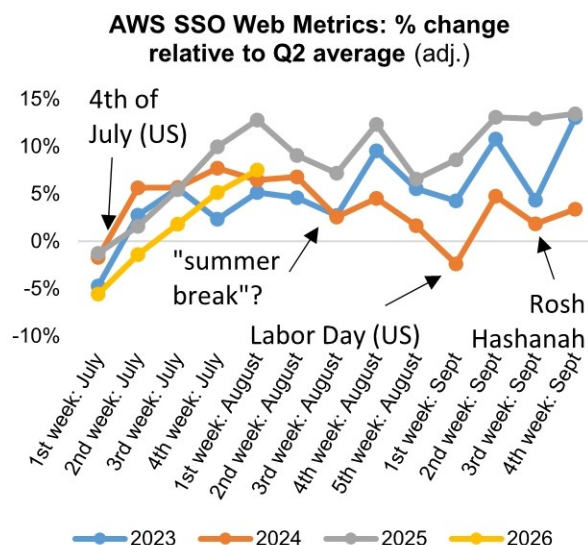
Management sees Vercel's recent acceleration as impressive but believes its long-term positioning has limitations. They argued that Vercel's reliance on Amazon's infrastructure constrains what it can ultimately offer. In a future where AI agents increasingly choose platforms, management believes the key decision factors will be speed, cost, and security rather than the quality of a platform's user interface.

Management is actively interviewing candidates to replace Mark Anderson and is confident they will hire a high-quality successor. Candidate interviews are currently underway.

Management believes its SSE offering remains uniquely positioned in the market. They view themselves as the only player providing not only the core SSE functionality but also enabling new use cases. They are generally replacing "1st generation" SSE vendors.

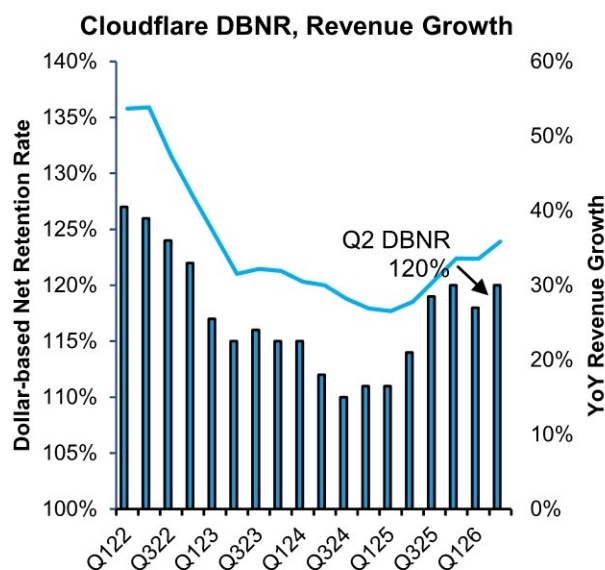
The company continues to benefit from a strong partner-led pipeline. Management highlighted partner-driven demand generation as a key source of business momentum.

EXHIBIT 1: AWS web metrics are a signal we use to estimate AWS growth, and AWS growth has been a correlated bellweather to Cloudflare's growth, so the strong initial performance into 2026 is an optimistic signal for near term results.



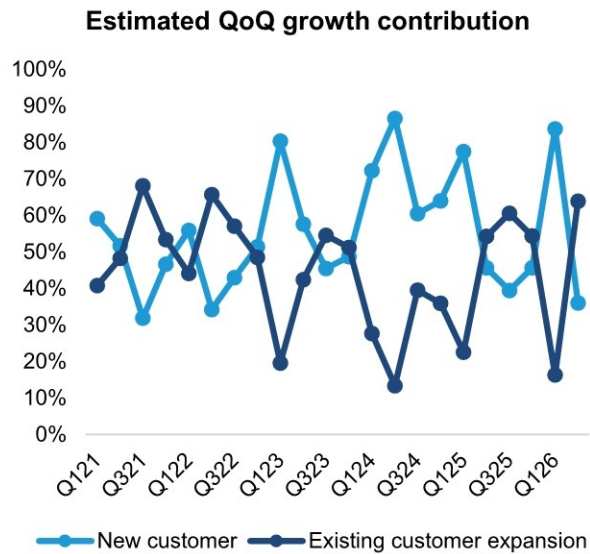
Source: Similarweb, Bernstein analysis

EXHIBIT 2: Dollar-based net retention rate dropped to 120%, its highest in over a year, and we anticipate it to accelerate, helping drive the business to more growth in FY26.



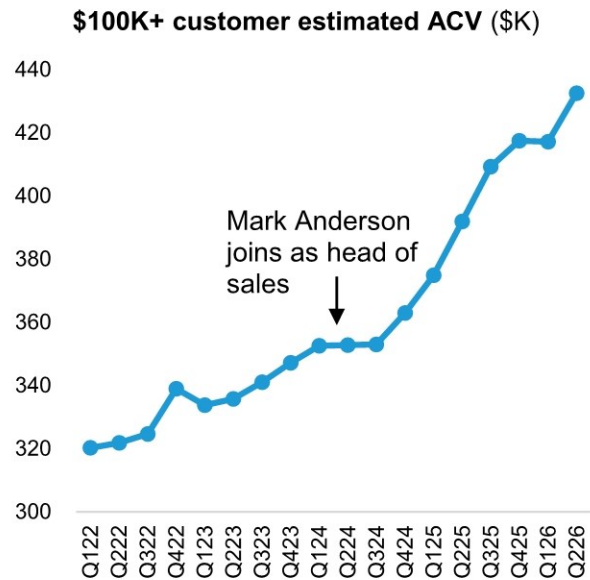
Source: Company reports, Bernstein analysis

EXHIBIT 3: Existing customer expansion maintained strong QoQ growth contribution as NRR ticked down to 120%



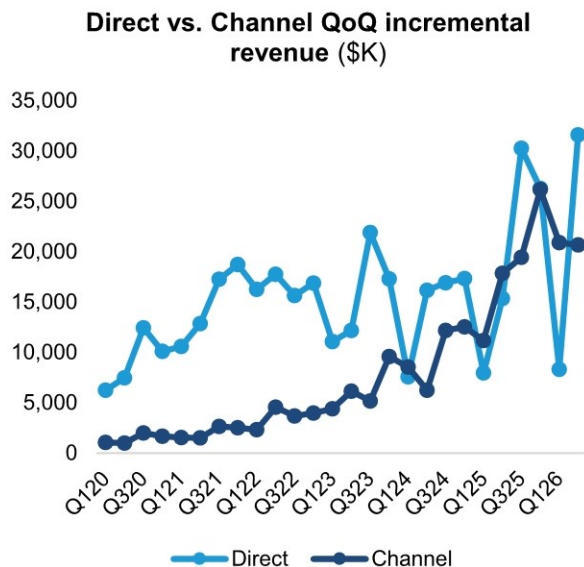
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 4: Mark Anderson joined to lead the new enterprise sales efforts in Q1'24, since then his efforts paved way for a strong up-tick in existing customer expansion.



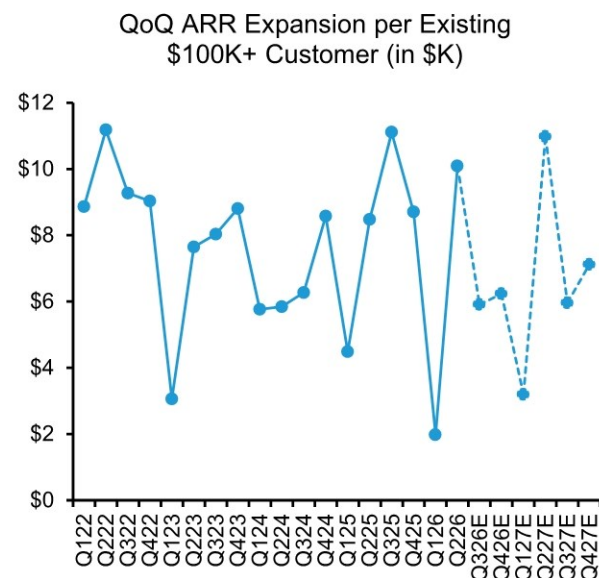
Source: Company reports, Bernstein analysis

EXHIBIT 5: QoQ incremental revenue saw a jump from direct.

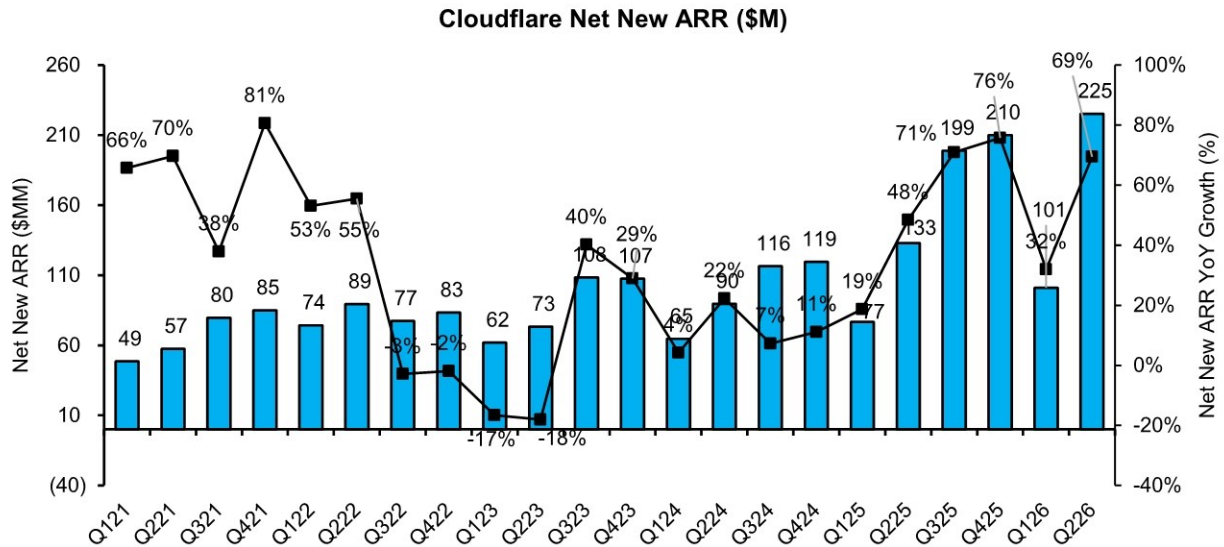


Source: Company reports, Bernstein analysis

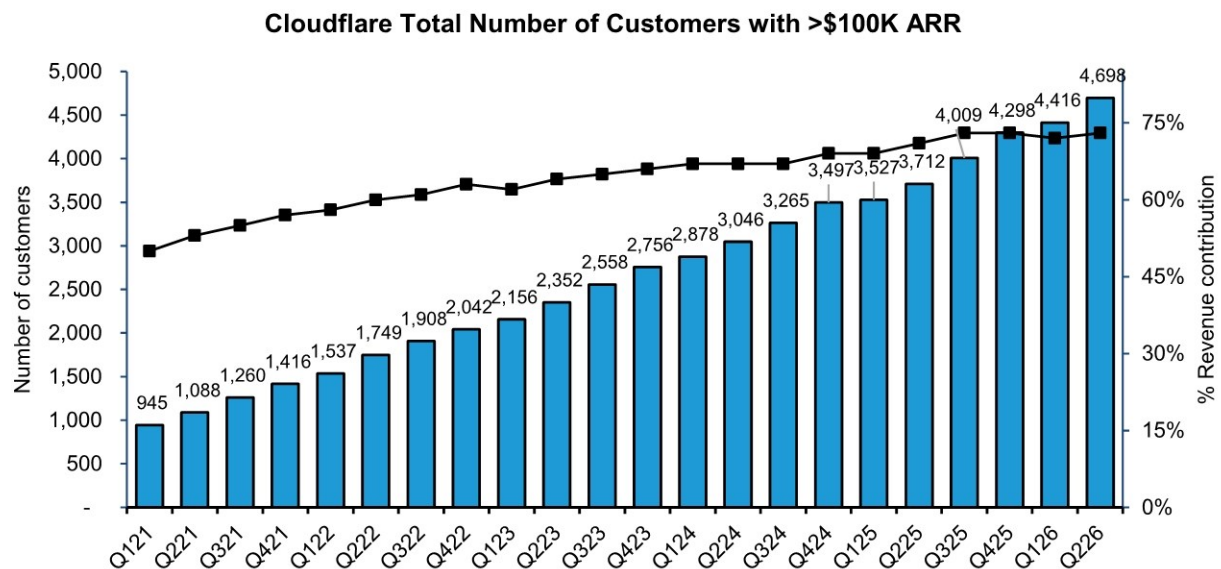
EXHIBIT 6: We anticipate existing customer expansion strengthens vs. the last couple year's weaker performance, returning to more "normal" levels into 2026-2027.



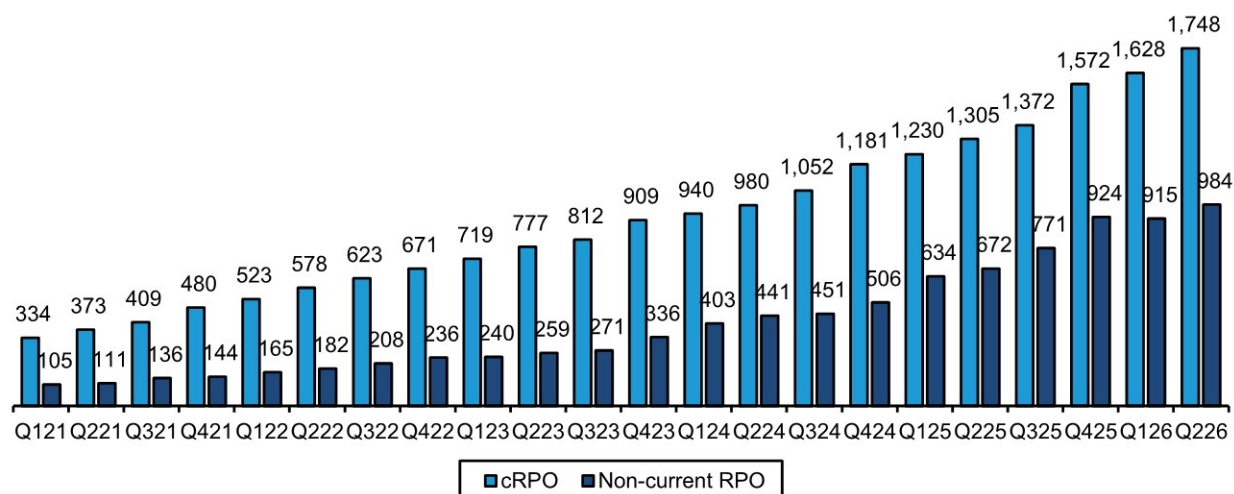
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **Cloudflare's net new ARR additions stronger than -1 year supported continued YoY growth acceleration.**

Source: Company reports, Bernstein analysis

EXHIBIT 8: **Cloudflare \$100k+ customer additions continued to increase in Q2.**

Source: Company reports, Bernstein analysis

EXHIBIT 9: **RPO has continued to see big increases from the growing large deals****Cloudflare cRPO and non-current RPO (\$K)**

Source: Company reports, Bernstein analysis

EXHIBIT 10: **Cloudflare results vs. estimates**

	Reported ('000)			FQ2 2026 Estimates			
	Q225	Q226	yoy	Cons	vs. Actual	Bernstein	vs. Actual
[Non-GAAP]							
COGS	121,655	187,183	54%	178,801	-4%	188,689	1%
Gross Profit	390,661	508,878	30%	487,599	-4%	499,801	-2%
S&M	182,124	232,452	28%	229,755	-1%	217,238	-7%
R&D	83,601	104,051	24%	103,617	0%	119,234	15%
G&A	52,621	76,264	45%	63,097	-17%	66,388	-13%
Operating Profit	72,315	96,111	33%	91,130	-5%	96,940	1%
Net Profit	75,057	107,780	44%	102,200	-5%	110,066	2%
EPS	0.21	0.29	40%	0.27	-6%	0.29	1%
[GAAP]							
Revenue	512,316	696,061	36%	666,400	-4%	688,490	-1%
COGS	128,677	196,544	53%	186,529	-5%	198,645	1%
Gross Profit	383,639	499,517	30%	479,871	-4%	489,845	-2%
S&M	219,359	276,122	26%	280,802	2%	262,301	-5%
R&D	134,557	159,486	19%	164,758	3%	177,401	11%
G&A	96,987	118,912	23%	104,144	-12%	98,730	
Operating Profit	(67,264)	(205,696)	206%	(69,833)	66%	(48,587)	76%
Other Income (expense)	19,975	37,756	89%	5,234	-86%	38,214	1%
EBT	(47,289)	(167,940)	255%	(64,599)	62%	(10,372)	94%
Tax provisions	3,157	2,041	-35%	7,334	259%	(2,074)	-202%
Net Income	(50,446)	(169,981)	237%	(71,933)	58%	(8,298)	95%
EPS	(0.15)	(0.48)	230%	(0.19)	61%	(0.02)	95%
	Reported			FQ2 2026 Estimates			
	Q225	Q226	yoy	Cons	vs. Actual	Bernstein	vs. Actual
Net retention rate	114%	120%	5%	118%	-2%	118%	-2%
Free cash flow	33,280	56,384	69%	58,073	3%	76,004	35%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 11: Cloudflare Financial Summary

Cloudflare In thousands Income Statement	FY2022	FY2023	FY2024	FY2025	Q126	Q226	Q326E	Q426E	FY2026E	FY2027E	FY2028E
Total Revenue	975,241	1,296,745	1,669,626	2,167,937	639,755	696,061	768,444	840,201	2,944,461	4,037,384	5,227,068
Cost of Revenue (Non-GAAP)	212,396	280,943	356,021	524,748	174,053	187,183	206,648	225,105	792,989	1,078,318	1,376,451
Gross Profit (Non-GAAP)	762,845	1,015,802	1,313,605	1,643,189	465,702	508,878	561,796	615,096	2,151,472	2,959,067	3,850,617
S&M (Non-GAAP)	410,080	520,106	633,365	781,143	227,526	232,452	236,486	249,926	946,389	1,270,793	1,536,483
R&D (Non-GAAP)	182,344	218,069	269,438	337,867	101,471	104,051	108,966	121,407	435,895	516,882	669,983
G&A (Non-GAAP)	134,742	155,610	180,691	220,328	63,608	76,264	84,195	87,856	311,922	399,307	480,607
Total Operating Expenses (Non-GAAP)	727,166	893,785	1,083,494	1,339,338	392,605	412,767	429,646	459,189	1,694,207	2,186,982	2,687,073
Operating Income (Non-GAAP)	35,679	122,017	230,111	303,851	73,097	96,111	132,149	155,908	457,265	772,085	1,163,544
Margin %	4%	9%	14%	14%	11%	14%	17%	19%	16%	19%	22%
Other income (loss), net	15,129	62,442	87,849	121,569	43,019	40,195	39,271	40,211	162,696	175,306	208,612
[Non-GAAP] Earnings before taxes	50,808	184,459	317,960	425,420	116,116	136,306	171,421	196,119	619,961	947,390	1,372,157
Provision for income taxes	6,370	14,785	48,947	82,538	22,100	28,526	34,284	39,224	124,134	189,478	274,431
Net income (loss)	44,438	169,674	269,013	342,882	94,016	107,780	137,136	156,895	495,828	757,912	1,097,725
Noncontrolling Interest	-	-	-	-	-	-	-	-	-	-	-
Net income attributable to common shareholders	44,438	169,674	269,013	342,882	94,016	107,780	137,136	156,895	495,828	757,912	1,097,725
Earnings (loss) per share - Basic	0.14	0.51	0.79	0.98	0.27	0.30	0.39	0.44	1.39	2.09	2.97
Earnings (loss) per share - Diluted	0.13	0.49	0.75	0.92	0.25	0.29	0.37	0.42	1.32	1.98	2.81
Balance Sheet											
Cash and cash equivalents	204,178	86,864	147,691	943,536	932,226	1,663,773	621,076	675,652	675,652	1,103,181	1,188,944
Short-term investments	1,445,759	1,586,880	1,708,228	3,157,715	3,231,652	2,499,025	3,639,782	3,748,505	3,748,505	4,018,852	5,043,869
Receivables	148,544	248,268	316,753	382,488	379,586	422,945	467,748	547,957	547,957	817,710	1,021,159
Other current assets	89,403	61,065	96,325	161,098	172,192	192,632	210,479	226,468	226,468	290,819	346,772
Total current assets	1,887,884	1,983,077	2,268,997	4,644,837	4,715,656	4,778,375	4,939,086	5,198,581	5,198,581	6,230,363	7,600,744
Total PPE	286,600	322,813	467,420	618,691	631,082	703,209	782,157	857,202	857,202	1,057,217	1,258,339
Other assets	413,424	453,877	564,745	772,728	817,239	992,543	985,945	996,349	996,349	1,019,147	1,038,844
Total assets	2,587,908	2,759,767	3,301,162	6,036,256	6,163,977	6,474,127	6,707,188	7,052,133	7,052,133	8,306,727	9,897,927
Accounts payable	35,607	53,727	105,807	84,115	58,843	127,032	85,355	88,084	88,084	120,430	148,131
Other current liabilities	362,263	513,357	687,847	2,266,448	2,351,828	2,501,002	2,605,809	2,755,176	2,755,176	3,060,478	3,317,781
Total current liabilities	397,870	567,084	793,654	2,350,563	2,410,671	2,628,034	2,691,163	2,843,260	2,843,260	3,180,909	3,465,912
Deferred revenue, non-current	11,732	17,244	22,095	41,088	39,874	40,252	48,258	55,285	55,285	65,507	74,724
Other liabilities, non-current	1,554,342	1,412,392	1,439,212	2,185,482	2,186,724	2,185,821	2,188,262	2,190,704	2,190,704	2,200,493	2,210,311
Total non-current liabilities	1,566,074	1,429,636	1,461,307	2,226,570	2,226,598	2,226,073	2,236,520	2,245,990	2,245,990	2,266,001	2,285,035
Total Liabilities	1,963,944	1,996,720	2,254,961	4,577,133	4,637,269	4,854,107	4,927,684	5,089,250	5,089,250	5,446,909	5,750,947
Redeemable Preferred Stock	-	-	-	-	-	-	-	-	-	-	-
Total Equity	623,964	763,047	1,046,201	1,459,123	1,526,708	1,620,020	1,779,504	1,962,883	1,962,883	2,859,818	4,146,980
Total Liabilities and Equity	2,587,908	2,759,767	3,301,162	6,036,256	6,163,977	6,474,127	6,707,188	7,052,133	7,052,133	8,306,727	9,897,927
Cash Flow											
Cash used for operating activities	123,595	254,406	380,429	603,114	158,330	117,564	237,813	305,999	819,706	1,205,330	1,685,122
Cash used for investing activities	(235,696)	(186,201)	(330,224)	(1,806,700)	(158,806)	608,174	(1,284,239)	(255,547)	(1,090,418)	(795,651)	(1,622,138)
Cash used for financing activities	6,347	(192,185)	12,785	2,003,729	(9,468)	5,785	3,729	4,123	4,169	17,850	22,779
Increase (decrease) in cash, cash equivalents, and restricted cash	(105,754)	(123,980)	62,990	800,143	(9,944)	731,523	(1,042,697)	54,575	(266,542)	427,530	85,763
cash, cash equivalents and restricted cash at beginning of period	320,958	215,204	91,224	154,214	954,357	944,413	1,675,936	633,239	954,357	687,815	1,115,344
Cash, cash equivalents and restricted cash at end of period	215,204	91,224	154,214	954,357	944,413	1,675,936	633,239	687,815	687,815	1,115,344	1,201,107
Cash flow from operations	123,595	254,406	380,429	603,114	158,330	117,564	237,813	305,999	819,706	1,205,330	1,685,122
FCF	(39,769)	119,464	166,915	260,562	84,074	56,384	94,332	159,174	393,964	680,028	1,088,000

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Aug 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NET (Cloudflare)	M	USD	284.43	164.00	10.5%	USD	0.92	1.32	1.98	307.6	215.5	143.5
OLD				136.00				1.33	1.73			
SPX			7,709.96									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Cloudflare Inc**

Our price target of \$164 is an average of DCF (with 10% WACC and 3% terminal growth) and 16x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the 10%+ OpM Cloud SaaS cohort from our valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS**Cloudflare Inc**

Downside risks beyond the macroeconomic risks include: continued tie to cloud growth, execution risk in sales model transformation; less visibility in consumption and revenue predictability; building credible Act II / III products and demonstrating demand, hyperscalers moving into their core CDN and expansion security businesses, high valuation.

Upside risks include AI driving demand for their edge PaaS, and success selling a broader cybersecurity platform either of both of which exceed revenue expectations.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges - unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

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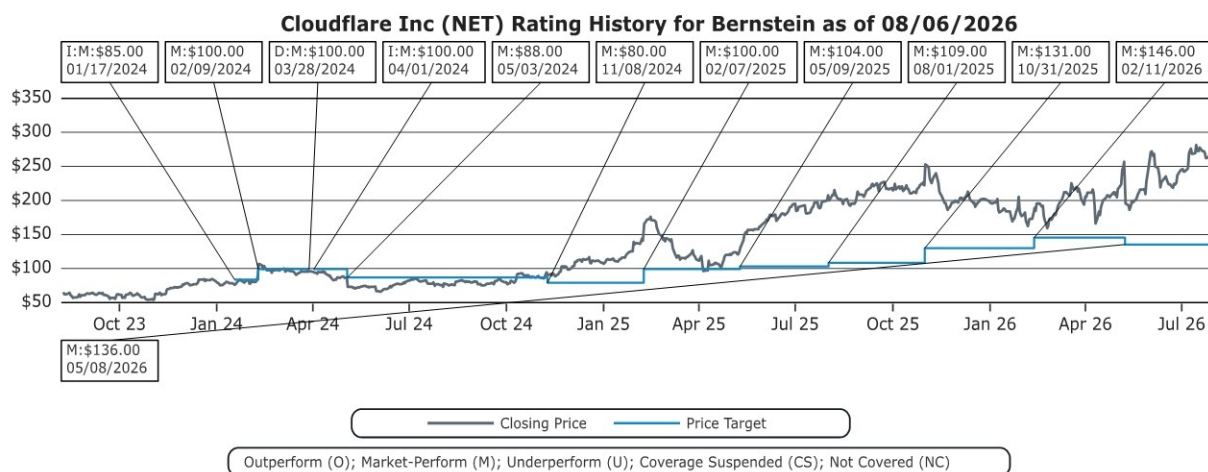
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